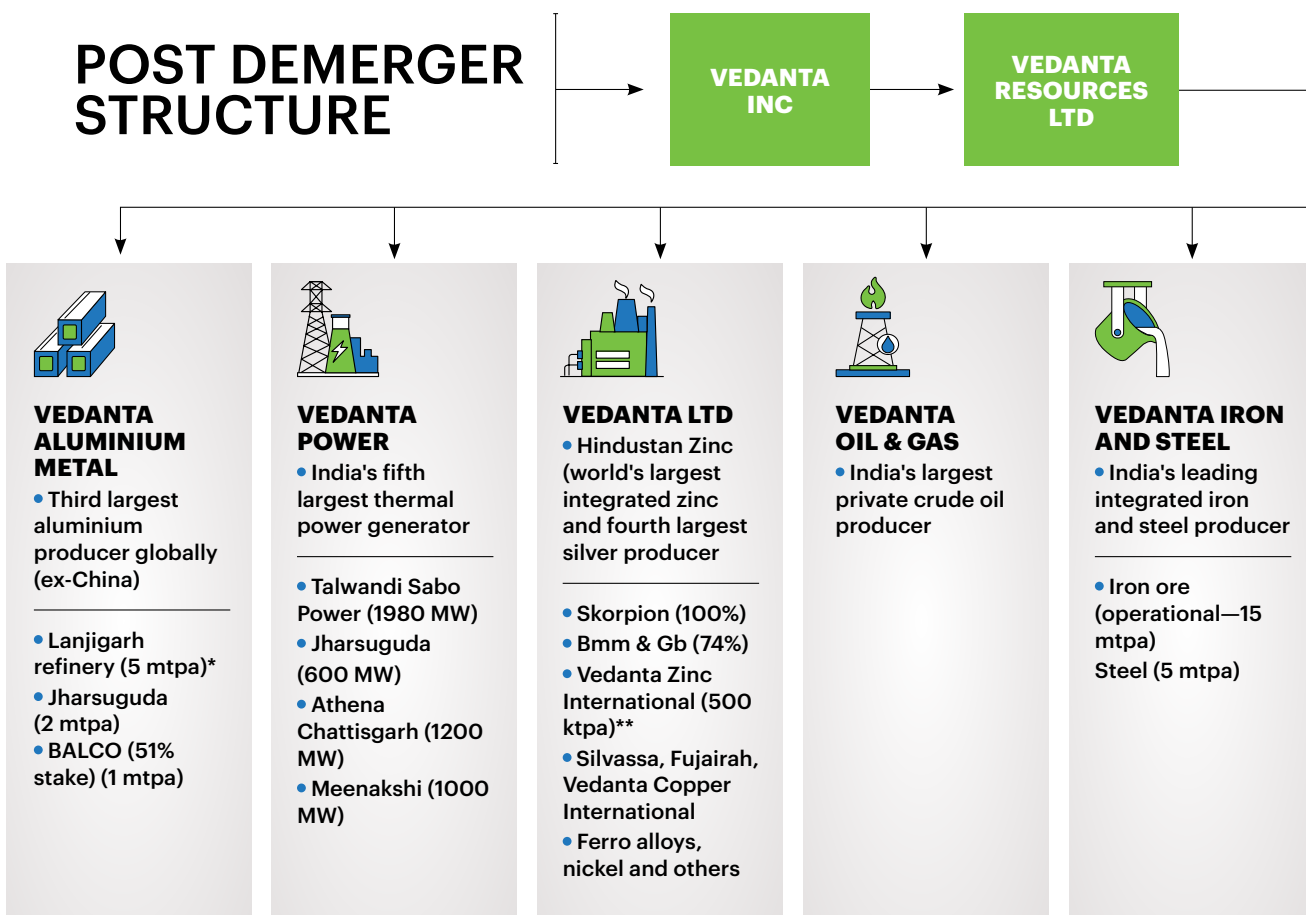


# POST DEMERGER STRUCTURE



\*MTPA—MILLION TONNES PER ANNUM \*\*KTPA—KILO TONNES PER ANNUM; VEDANTA RESOURCES HOLDS A 56.4% STAKE IN EACH OF THE FIVE COMPANIES

## GETTING TO THE CORE

Vedanta has kept a close watch on its cost structure, which has helped it improve margins and better withstand industry shocks. “Today, India competes in the world market. Be it aluminium, zinc, silver, power or steel, we have the lowest cost,” says Agarwal.

Nickel, he points out, is not made in India. He plans to set up a phosphate fertiliser plant in Rajasthan. That is logical for two reasons. Rock phosphate, a key raw material for fertiliser production, is mostly produced in Rajasthan. Additionally, zinc smelting generates sulphur dioxide, which can be converted into sulphuric acid, a critical input for fertilisers.

Costs have been a key driver of Vedanta's growth. Agarwal credits much of that to the ability to get the most out of technology. This is most evident at HZL, which is among the world's lowest-cost zinc producers. Its strategic advantage comes from high-grade mines

and captive power. According to Arora, the cost of production was \$903 per tonne in the last quarter of FY26, around 30-35% below the global average. The launch of EcoZen (low-carbon zinc produced entirely using renewable energy) has added a premium layer to its realisations. The zinc business continues to deliver EBITDA margins of over 50%.

In FY26, the aluminium business reported costs of \$1,752 per tonne, the lowest in five years. At Bharat Aluminium Company (Balco), costs fell 23% year-on-year (from \$2,313 to \$1,792 per tonne), driven by the allocation of captive coal. Vedanta's vertically integrated model and ownership of quality mineral assets underpin its cost advantage.

Raj Gaikar, research analyst, Samco Securities, says cost leadership is uneven across businesses. “It is emphatic in zinc, solid in aluminium and less proven in steel and power,” he says.